

The Override Signal — Facilitator Guide

Day 2 · Human and the Loop / Bainbridge's Debt · 25 min total

How to run it

- **0–5 min:** tell the Knight story. End on the 97 emails — “a human was in the loop; the loop never ran.”
- **5–18 min:** pods design one signal for their case. Circulate; force them to name an owner *with authority to stop the system* — that's the field most pods leave vague.
- **18–25 min:** each pod states its signal in 30 seconds and answers “would it have caught Knight?” Hand out gold last.
- **Materials:** participant sheet per pod, whiteboard/markers, gold sheet held back.

Questions to ask while circulating

- “Who watches this, and can they actually stop the system — or just file a ticket?”
- “Does it fire before the irreversible step, or after the money's gone?”
- “Is this one prioritized signal, or are you building the 98th email?”
- “Override rate of zero — is that good news or a red flag?” (automation bias)
- “Does your signal watch the model, the human, or both?”

Misconceptions to watch for

- “**A human reviews it**” = **oversight**. Knight had that. Push for surfaced + owned + timely.
- **Dashboard = signal**. A chart nobody is accountable for is decoration; require a threshold and an action.
- **Override rate only flags “too high.”** Too low is rubber-stamping — the more common bank failure.
- **Signal fires after the irreversible action**. Timeliness is a design constraint, not a nice-to-have.
- **No authority attached**. An owner who can't halt the system isn't an owner.

Debrief — land this

Put the five criteria on the board and score two pods' signals against them live, then score Knight (it fails all five).

Punchline: the supervisory question is never “is a human in the loop” — it's whether the loop runs at a speed and transparency where judgment can matter, and whether anyone is watching the human as well as the machine. A signal that isn't surfaced, owned, and actionable in time is just the 98th email.

How it connects

This is the payoff of the HITL and Bainbridge modules and ties three threads together: HITL design's three questions, automation-bias override-rate monitoring, and Bainbridge deskilling. It directly answers ClearList's and Compass's curveballs (both opened the night before), and the “before the irreversible step” constraint is harness line 10 again.

Illustrative for the exercise only. One signal is a starting point, not a monitoring program. Nothing here is legal or regulatory advice.